THE SALE OF GOODS ACT 1930 AND THE NEGOTIABLE INSTRUMENTS ACT 1881

UNIT VIII

22 CHAPTER

THE NEGOTIABLE INSTRUMENTS ACT 1881

எனைத்தானும் நல்லவை கேட்க அனைத்தானும்
ஆன்ற பெருமை தரும்.

–குறள் 416

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COUPLET

Let a man listen, never so little, to good (instruction), even that will bring him great dignity.

Learning Objectives

To enable the students to understand the

- Negotiable Instruments
- Meaning, characteristics and Assumptions
- Bills of Exchange, Cheque, Promissory Note – comparison
- Crossing of cheque – types – endorsement types



Chapter Synopsis

22.01 Negotiable Instruments – Meaning, Characteristics, Assumptions

22.02 Negotiability & Assignability

22.03 Bills of Exchange, Cheque, Promissory Note – A Comparison

22.04 Crossing of Cheque

22.05 Endorsements

The word 'Negotiable' means transferable from one person to another in return for consideration. The word 'Instrument' means a written document by which a right is created in favour of certain person. Thus, a negotiable instrument is a document which entitles a person to a certain sum of money and which is transferable from one person to another by mere delivery or by endorsement and delivery. The terms delivery and endorsement has been explained

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